

MICROSOFT COPILOT

Copilot, without the guesswork.

A leadership guide to licensing, cost, and rolling out AI
without overwhelming your team.

Healthcare-forward, general enough for any knowledge-worker org. Current July 2026.

Three things stall every Copilot rollout.



The licensing maze

Chat, Copilot, Premium, Cowork, agents, credits. People buy the wrong thing and lose money and trust.



Fear of exposing data

In a health system, one overshared site plus an eager assistant is a compliance conversation nobody wants.



Tool overwhelm

Drop six new capabilities on a team in a week and adoption dies. The worry is real, and avoidable.

You already believe Copilot can help. This guide removes what stops you from acting on it.

THE MAP

Two tiers, one usage layer. That is the whole model.

TIER 1 - THE FRONT DOOR

Microsoft 365 Copilot Chat

Included with your M365

Web-grounded AI with enterprise data protection. Safe to give broadly. Builds the habit at no added seat cost.

TIER 2 - THE PAID SEAT

Microsoft 365 Copilot

Add-on, ~\$30/user/mo (confirm live)

Grounds on your own data, edits in the Office apps, adds Researcher and Analyst, and zero-rates most agent use.

USAGE LAYER - ON A PAID SEAT

Cowork & agents

Billed by usage in Copilot Credits

Cowork runs multi-step work on its own. Agents run across both tiers. Off until an admin turns them on.

There is no “Copilot Premium” to buy. It is an in-app label for the paid seat. Use two names: Chat (free) and Microsoft 365 Copilot (paid).

Who gets what, by role.

ROLE	RECOMMENDED TIER	COMES WITH THE SEAT	PAYS EXTRA
Director / Exec	Paid seat	Meeting + email synthesis, Researcher, Analyst	Cowork usage
Manager	Paid seat	Recaps, team roll-ups, coordination	Cowork usage
Analyst	Paid seat	Excel + Analyst, data-to-deck	Cowork, Studio, Azure
Knowledge worker	Start free, graduate	Web chat, file upload, approved agents	Paid seat when engaged
Engineer / Dev	GitHub Copilot + seat	Code assist, collab, doc drafting	Studio license, Azure
Frontline (F-plan)	Free Chat if eligible	Web chat on eligible plans	Paid add-on on F1/F3
Security / Compliance	Security Copilot	SOC workflows, governance tooling	Per product terms

START HERE

Governance is step zero, not step eight.

Decide who owns AI, what data is in bounds, and where the guardrails are before you buy a seat. Start with the people side.

Stand up an AI governance committee

One group owns the AI decisions: exec sponsor, IT, security, compliance, a business voice, HR. It owns acceptable use, data boundaries, and agent approval.

Put AI in your mission and strategy

Leadership frames Copilot as how you work now, not a tool IT bought. Tie it to outcomes leaders already care about: time back, lower cost, better care.

Drive culture from the top

Change management is a leadership job, not a training deck. Executives model the behavior and give people time to build the habit.

Build a champion network

A few enthusiastic peers per department move adoption further than any mandate. The Copilot Success Kit and Academy arm them.

Then the platform side: SharePoint Advanced Management (included) + RCD · Purview · Agent Registry / Agent 365 · AI Administrator, least privilege

The one fact that drives your budget.

Paid seats zero-rate most employee-facing agent use.

Free-Chat users pay per interaction.

WHAT AN ACTION COSTS (PAY-AS-YOU-GO, ~\$0.01/CREDIT)

Classic answer	1 credit
Generative answer	2 credits
Agent action	5 credits
Grounding on your data	10 credits
Grounded generative answer	12 credits

YOUR COST CONTROLS

■ Copilot Credits

Renamed from “messages” in 2025, same rate. PAYG bills through Azure.

■ Prepaid = a hard ceiling

Agent flows stop at 100% of capacity; custom agents disable at 125%.

■ Pay-as-you-go = alerts

Keeps billing past your alerts, so set per-agent caps on purpose.

■ Cowork spend limits

Tenant, group, and per-user caps with usage alerts.

Agents: build, use, govern.

WHO CAN BUILD

Agent Builder

Business users, on a paid seat. Simple declarative agents.

Copilot Studio

IT and power makers. Full agents, governed environments.

Azure AI Foundry

Developers. Code-first, Azure RBAC and billing.

WHO CAN USE

Paid seat

Full Agent Store, Researcher and Analyst, most use free.

Free Chat

Approved pay-as-you-go agents, metered per use.

Shared agents

Consumers need no Studio license. Usage bills the tenant.

WHO GOVERNS

Agent Registry

One inventory. Block, allow, approve. AI Administrator role.

Power Platform DLP

Force sign-in, block risky connectors, route makers.

Agent 365

The control plane as agents scale: observe, govern, secure.

Healthcare and compliance.

COVERED UNDER YOUR BAA

Microsoft 365 Copilot and Copilot Chat are HIPAA in-scope, with the BAA auto-included.

Web-search queries are the exception: keep PHI out of web-grounded prompts.

THE PRODUCT BOUNDARY

Microsoft 365 Copilot is for knowledge and admin workers.

Dragon Copilot is the separate product for clinicians doing ambient documentation. Different license. Neither is a medical device.

COMPLIANCE GUARDRAILS

Week 1

Disable OpenAI-operated models if you require HITRUST, SOC 1, or FedRAMP High.

Weeks 1-4

Move oversharing control to Restricted Content Discovery as legacy search retires.

Ongoing

Confirm Anthropic / EU Data Boundary BAA coverage before PHI-adjacent Cowork or Researcher use.

 **MAKE IT STICK**

Roll it out without overwhelming the team.

Adoption is a habit you build in waves. Governance stands before Phase 1, not inside it.

PHASE 1 - PROVE

Weeks 1-4

- Free Chat to a broad group
- Paid seats to a small high-ROI cohort
- Name 3-5 champions
- Teach one or two daily habits

PHASE 2 - EXPAND

Weeks 5-10

- Graduate engaged Chat users to seats
- Ship one governed agent
- Share modeled assisted-hours
- Turn on Cowork for a few, with a cap

PHASE 3 - SCALE

Weeks 11+

- Expand department by department
- Open building to governed makers
- Roll Cowork to roles that earn it
- Review usage and spend monthly

DO THIS NEXT

Where to start this quarter.

1

Stand up your AI governance committee

Name the executive sponsor. This is step zero, before any spend.

2

Turn on free Chat for everyone eligible

It is already included. Handle the web-search path for PHI-heavy groups first.

3

Buy a focused block of paid seats

Dozens, not thousands. Leaders, managers, analysts.

4

Do the oversharing work

SharePoint Advanced Management, and stand up the Agent Registry before you scale agents.

5

Handle the compliance guardrails

The OpenAI subprocessor decision first.

**Free Copilot for everyone. Paid
seats where the work is heavy.
Agents with a governed on-switch.**

We expand on what the data shows, not what people ask for.

The full interactive guide: heyitsgoad.github.io/copilot-playground